

Warsaw, March 7, 2023

Decision

DKE.561.2.2023

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws 2022, item 2000, as amended) in connection with Article 7 sections 1 and 2 and Article 60 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws 2019, item 1781) and based on Article 58 section 2 letter b) in connection with Article 31 and Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), after conducting administrative proceedings regarding the imposition of an administrative monetary penalty on R. Sp. z o.o. based in W. at Al. (...), the President of the Personal Data Protection Office issues a reprimand to R. Sp. z o.o. based in W. at Al. (...) for violating the provisions of Article 31 and Article 58 section 1 letters a) and e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), consisting of a lack of cooperation with the President of the Personal Data Protection Office in the performance of his tasks and failing to provide the President of the Personal Data Protection Office access to personal data and information necessary to fulfill his tasks in the proceedings with reference number DKN.5130.2701.2021.

JUSTIFICATION

Factual Background

On March 23, 2021, a preliminary notification of a personal data breach was submitted to the Personal Data Protection Office by R. Sp. z o.o. based in W. at Al. (...) (hereinafter referred to as the "Company"). Considering the need to conduct additional verification activities related to the detected breach, by letter dated April 19, 2021, the Company informed about the necessity to extend the deadline for submitting a supplementary notification until May 15, 2021. In this regard, the President of the Personal Data Protection Office (hereinafter referred to as the "President of UODO") initiated explanatory proceedings with reference number DKN.5130.2701.2021.

Due to the lack of submission of additional documentation within the deadline set by the Company, within the aforementioned administrative proceedings (see point 1 of the justification of this decision), the President of UODO addressed the Company – by letter dated July 21, 2021 – and summoned the Company to:

- 1) "present the content of both the preliminary and supplementary notification of the personal data breach; and
- 2) provide the reasons for the failure to submit the supplementary notification of the personal data breach within the deadline declared in the letter of April 19, 2021." At the same time, this letter included a warning indicating that failure to provide comprehensive explanations on the matter may result in the imposition of an administrative monetary penalty on the Company, in accordance with Article 83 section 5 letter e) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (OJ EU L 119 of May 4, 2016, p. 1, with amendments published in OJ EU L 127 of May 23, 2018, p. 2, and in OJ EU L 74 of March 4, 2021, p. 35), hereinafter referred to as the "Regulation 2016/679." This summons, sent to the address of the Company's registered office disclosed in the National Court Register, valid at the time of sending the letter (i.e., Al. (...), (...) W.), was duly delivered to the Company on July 26, 2021. Despite receiving the letter, the Company did not respond in any way to the request of the

personal data protection authority.

In light of the above, by letter dated December 30, 2021, the President of UODO once again addressed the Company with a request for the submission of evidence and explanations necessary to assess the reported breach. The Company was once again informed that failure to respond to the President of UODO's request may result in the application of sanctions against the Company as specified in Article 83 section 5 letter e) of Regulation 2016/679. This summons was duly delivered to the Company on January 5, 2022. Despite receiving the correspondence, the Company did not take any action to clarify the circumstances related to the breach reported by it.

The above factual circumstances were established by the President of UODO based on the entirety of the official correspondence conducted between the Company and the President of UODO, which is contained in the files of the proceedings with reference number DKN.5130.2701.2021. This correspondence reflects the entirety of attempts made by the President of UODO to gain access to personal data and information necessary to fulfill his tasks – that is, to consider the case with reference number DKN.5130.2701.2021. On the other hand, it constitutes direct evidence of the lack of cooperation.

****Companies from the President of the UODO in the framework of performing his tasks.****

****Proceedings****

In connection with the failure of the Company to provide information necessary to resolve the case with reference number DKN.5130.2701.2021, the President of the UODO initiated ex officio – based on Article 83(5)(e) of Regulation 2016/679 – this administrative proceeding with reference number DKE.561.2.2023, regarding the imposition of an administrative monetary penalty on the Company for violating Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679. The Company was informed of the initiation of the proceedings by a letter dated January 31, 2023 (reference: DKE.561.2.2023(...)), delivered to the Company on February 2, 2023. By this letter, the Company was obliged – in order to determine the basis for the penalty, based on Article 101a(1) of the Act of May 10, 2018 on the protection of personal data (Journal of Laws of 2019, item 1781, hereinafter referred to as "u.o.d.o.") – to provide information on the amount of turnover and financial results achieved by the Company in 2022. The Company was also informed that the submission of comprehensive explanations, which the President of the UODO had previously requested from the Company in the proceedings with reference number DKN.5130.2701.2021, may have a mitigating effect on the amount of the administrative monetary penalty imposed in this administrative proceeding or may result in the decision to refrain from imposing it.

In response to the information about the initiation of the proceedings regarding the imposition of an administrative monetary penalty – by a letter dated February 6, 2023 – the Company submitted extensive explanations regarding the matter. Regarding the reported violation of personal data protection, the Company indicated that the conducted explanatory actions showed that the incident in question did not occur within the structures of the Company, nor of the entity to which the Company entrusted the processing of personal data of its clients for the purpose of operating an online store. According to the findings made by the Company, on March 20, 2021, a hacking attack (so-called phishing) was carried out, consisting of sending false SMS messages to random recipients. Although the name of the Company was used in these messages, this action was entirely random. Information obtained by the Company indicates that the vast majority of recipients of the aforementioned text messages were not listed in the Company's database. In connection with the suspicion of a crime, the Company notified the relevant law enforcement authorities about the incident. Given that the incident was external and independent of the Company's actions, the Company expressed its willingness to withdraw the previously submitted preliminary notification of the violation of personal data protection.

Regarding the violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, the Company indicated that "[...] it does not dispute the fact that the President of the UODO made a proper delivery – of letters addressed to the Company in the proceedings with reference number DKN.5130.2701.2021 – however, [...] the Company changed its office and thus its correspondence address, and as a result of

a series of formal-administrative matters related to this, it most likely led to the non-delivery of the aforementioned correspondence to the Company, which in turn caused a lack of response to the letters from the President of the UODO. The Company was not concerned about the lack of summons from the President of the UODO, as the Company prepared on May 7, 2021, [...] a request to withdraw the notification regarding the violation of personal data, which, as it turned out – was not sent.” As the Company stated, the lack of cooperation with the supervisory authority in the proceedings with reference number DKN.5130.2701.2021 did not result from the bad faith of the Company, but solely from organizational problems, which should be attributed to the improper circulation of correspondence within the Company during the period of its relocation. In light of the aforementioned arguments, the Company requested the termination of the proceedings regarding the imposition of an administrative monetary penalty. Furthermore, the Company hereby declared its full willingness to cooperate with the President of the UODO.

After reviewing all the evidence collected in the case, the President of the Personal Data Protection Office considered the following.

****Legal Provisions****

According to Article 57(1)(a) of Regulation 2016/679, the President of the UODO, as the supervisory authority within the meaning of Article 51 of Regulation 2016/679, monitors and enforces the application of this regulation within its territory. As part of its competencies, the President of the UODO conducts proceedings regarding the application of this regulation, including based on information received from another supervisory authority or another public authority (Article 57(1)(h) of Regulation 2016/679).

To enable the realization of the tasks defined in this way, the President of the UODO has a number of powers specified in Article 58(1) of Regulation 2016/679 in the context of the proceedings conducted, including the power to order the controller and the processor to provide any information necessary to carry out its tasks (Article 58(1)(a) of Regulation 2016/679) and the power to obtain from the controller and the processor access to all personal data and any information necessary to carry out its tasks (Article 58(1)(e) of Regulation 2016/679).

A violation of the provisions of Regulation 2016/679, resulting in a violation of the powers of the authority specified in Article 58(1), is subject – in accordance with Article 83(5)(e) of Regulation 2016/679 – to an administrative monetary penalty of up to EUR 20,000,000, and in the case of an enterprise – up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable.

Additionally, both the administrator and the processor are obliged, at the request of the supervisory authority, to cooperate with it in the performance of its tasks, as provided for in Article 31 of Regulation 2016/679. Failure to comply with this obligation is subject to an administrative fine of up to EUR 10,000,000, or in the case of an enterprise, up to 4% of its total annual worldwide turnover from the previous financial year, with the higher amount applicable, in accordance with Article 83(4)(a) of Regulation 2016/679.

The President of the Personal Data Protection Office (UODO) is also entitled to a number of corrective powers specified in Article 58(2) of Regulation 2016/679, including the right to issue a reprimand to the administrator or the processor in the event of a breach of the provisions of Regulation 2016/679 by processing operations. According to Recital 148 of Regulation 2016/679, in order for the enforcement of the provisions of Regulation 2016/679 to be more effective, sanctions, including administrative fines, should be imposed for violations, in addition to or instead of appropriate measures imposed under Regulation 2016/679 by the supervisory authority. If the violation is minor, the monetary penalty may be replaced by a reprimand. However, attention should be paid to the nature, gravity, and duration of the violation, whether the violation was not intentional, the actions taken by the administrator to minimize damage, the degree of responsibility or any relevant prior violations, the manner in which the supervisory authority became aware of the violation, compliance with measures imposed on the administrator or processor, adherence to codes of conduct, and any other aggravating or mitigating

factors.

Pursuant to Article 60 of the Personal Data Protection Act (u.o.d.o.), proceedings regarding violations of personal data protection regulations are conducted by the President of UODO. Furthermore, Article 7(1) of the u.o.d.o. states that in matters not regulated by this act, the provisions of the Act of June 14, 1960, the Code of Administrative Procedure (Dz. U. 2022, item 2000, as amended, hereinafter referred to as "k.p.a.") apply to administrative proceedings before the President of UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the u.o.d.o.). According to Article 7(2) of the u.o.d.o., these proceedings are single-instance proceedings.

Pursuant to Article 17(1) of the Act of August 20, 1997, on the National Court Register (Dz. U. 2022, item 1683, as amended, hereinafter referred to as "the KRS Act") in conjunction with Article 47 of the KRS Act in conjunction with Article 45 of the k.p.a., it is presumed that the data entered in the register of entrepreneurs is true, and the entity required to be registered in the register of entrepreneurs is obliged to report its address and registered office and any changes thereto, regardless of obligations arising from separate regulations, unless the law provides otherwise. Furthermore, the public administration authority delivers documents to organizational units and social organizations at their registered office to the hands of persons authorized to receive documents.

Legal Assessment

Referring the above-mentioned legal basis to the established factual state in this case, it should be concluded that the Company – being the administrator of personal data, reporting a personal data breach and simultaneously a party to the proceedings with reference number DKN.5130.2701.2021 – by failing to respond to the requests of the President of UODO for explanations, violated the obligation to cooperate with the President of UODO in the performance of his tasks and to provide the President of UODO access to personal data and information necessary for the execution of his tasks, which obligations arise directly from Articles 31 and 58(1)(a) and (e) of Regulation 2016/679.

The President of UODO twice summoned the Company to provide explanations in the case with reference number DKN.5130.2701.2021. Both the summons of July 21, 2021, and the summons of December 30, 2021, were received by the Company – on July 26, 2021, and January 5, 2022, respectively – which justifies the belief that the Company had an objective opportunity to familiarize itself with the content of the correspondence directed to it and to respond within the time frame set by the data protection authority. The Company's lack of response to this correspondence, undisputed in light of the evidence gathered in this case, resulted in the necessity to initiate administrative proceedings regarding the imposition of an administrative fine on the Company, as a result of which the Company only then began to cooperate with the President of UODO and provided comprehensive explanations in the case with reference number DKN.5130.2701.2021.

In the opinion of the President of UODO, the justification presented by the Company in its letter of February 6, 2023, for the lack of response to his requests (see point 7 of the justification of this decision), although credible, does not constitute a ground for excluding the Company's liability. As indicated by the information contained in the register of entrepreneurs of the National Court Register, the Company indeed reported a change of its registered office address, as a result of which it currently operates at the address: (...) W., Al. (...). However, the entry reflecting the aforementioned change was made only on January 3, 2022. Therefore, it should be assumed that the correspondence sent to the Company in the proceedings with reference number DKN.5130.2701.2021 (i.e., the letters of July 21, 2021, and December 30, 2021), addressed to: (...) W., Al. (...), was sent to the correct and current address of the Company's registered office at the time of dispatch. The Company itself did not contest the correctness of the delivery of this correspondence during these proceedings.

In this case, it is also undoubtedly true that to

****Obligations of the Company****

The Company was obliged to ensure an organization of correspondence circulation that would allow for the timely fulfillment of the obligations imposed by the provisions of Regulation 2016/679. As a professional entity conducting business activities, the Company should designate—either in its internal

organizational regulations or through appropriate formulation of the scope of duties of its employees—a person authorized to receive incoming correspondence addressed to the Company. In such a case, "the delivery [of correspondence] occurs on the date confirmed by this person upon receipt of the document. The determination of this does not depend on whether this person subsequently forwarded the document to the individuals appointed to perform the actions to which the document pertained. This is already a matter of the internal organization of work of the organizational unit that is the addressee of the document. It is the duty of each unit to organize the receipt of documents in such a way that this action is performed by an authorized person, and it is this unit that bears the responsibility for properly organizing the acceptance of documents and the circulation of correspondence, which should take place continuously and without interruption" (see Judgment of the Provincial Administrative Court in Warsaw of December 9, 2020, case file VI SA/Wa 1697/20, LEX no. 3162004).

Considering the above, it should be noted that the delivery of correspondence addressed to the Company in the proceedings with reference number DKN.5130.2701.2021, made on July 26, 2021, and January 5, 2022, initiated the running of deadlines for the actions that the Company was summoned to undertake by the President of the UODO—specifically, to provide explanations and evidence necessary for the supervisory authority to fulfill its tasks. The lack of any activity from the Company in this regard undoubtedly burdens the Company.

However, recognizing the Company's explanations as credible, the President of the UODO took the position that the violation identified in these proceedings, consisting of a lack of cooperation with the President of the UODO in the performance of his duties and the failure to provide the President of the UODO access to personal data and information necessary for the fulfillment of his tasks, was unintentional. Furthermore, this violation was rectified by the Company immediately after becoming aware of the ongoing proceedings regarding the imposition of an administrative monetary penalty, i.e., upon the submission of the Company's explanations to the UODO on February 7, 2023. The Company demonstrated an active attitude and was willing to continue cooperation, both in these proceedings and in other matters initiated before the President of the UODO, in which the Company is a party. This leads to the conclusion that the Company's lack of response to the summons from the President of the UODO in the proceedings with reference number DKN.5130.2701.2021 was not intentional.

In light of the above, the President of the UODO deemed it justified to issue a reprimand to the Company concerning the identified violation of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679, while also accepting that, in light of the criteria specified in Article 83(2) of Regulation 2016/679, it would be effective and sufficient. However, it should be noted that in the event of a similar occurrence in the future, any reprimand issued by the President of the UODO against the Company will be taken into account when assessing the conditions justifying the imposition of an administrative penalty, in accordance with the principles set out in Article 83(2) of Regulation 2016/679.

In this context, the Company's request for the discontinuation of these proceedings based on the provisions of Article 105 § 1 of the Administrative Procedure Code should be deemed unfounded. "According to Article 105 § 1 of the Administrative Procedure Code, a decision to discontinue administrative proceedings may be made if the administrative proceedings have become moot. Mootness of the proceedings may occur for subjective or objective reasons. One can speak of the mootness of the proceedings if, in light of substantive law and the established factual state, further conduct of the proceedings is unjustified due to the lack of possibility of issuing a positive or negative decision. Thus, it concerns circumstances that legally make it impossible to issue a decision due to the lack of the subject matter of the case, in which the authority is empowered and obliged to resolve based on the provisions of substantive law regarding the rights or obligations of an individual entity. The proceedings are then moot when one of the elements of the substantive legal relationship is missing, and therefore it is impossible to issue a decision resolving the matter in essence" (see Judgment of the Provincial Administrative Court in Gliwice of August 17, 2022, case file III SA/GI 32/22, LEX no. 3412365).

In the present proceedings concerning the imposition of an administrative monetary penalty on the

Company, the manifestation of mootness referred to above would be the determination of the absence of a violation that underpinned its initiation. The supervisory authority would therefore have to establish—based on the factual findings made—that the Company timely fulfilled its obligations arising from the provisions of Regulation 2016/679 and actively cooperated with the President of the UODO at every request. However, as demonstrated in the justification of this decision, the violation of the provisions of Article 31 and Article 58(1)(a) and (e) of Regulation 2016/679 undoubtedly occurred, and although it was ultimately rectified by the Company, it cannot be treated as non-existent. The Company's omission, resulting in the hindrance and unjustified prolongation of the proceedings conducted by the President of the UODO with reference number DKN.5130.2701.2021, must meet with an adequate, and above all, legally grounded response from the personal data protection authority. In these proceedings, the reprimand issued to the Company should be regarded as its manifestation.

In this factual and legal state, the President of the UODO decided as stated in the operative part of this decision.

****Instruction****

The decision is final. The Party may appeal against the decision.

You have the right to file a complaint with the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the UODO (address: ul. Stawki 2, 00 – 193 Warsaw). The fee for the complaint is 200 PLN. In proceedings before the Provincial Administrative Court, the Party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the Party's request submitted before the initiation of the proceedings or during the course of the proceedings. The application is free of court fees.

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